

Blinkit Retail Performance Analysis

1. Executive Overview

This analysis evaluates Blinkit's retail sales data to identify the **outlet and product characteristics most closely associated with stronger revenue outcomes**.

The objective is to move beyond aggregate KPIs and understand **which structural factors consistently drive performance across outlets and categories**.

The analysis is based on historical transactional data and is intended to support **inventory planning, outlet strategy, and format-level decision-making**.

2. Core Performance Snapshot

At an overall level, the dataset reflects meaningful operational scale:

- **Total Sales:** ~\$1.20M
- **Number of Items Sold:** 8,523
- **Average Sales per Item:** ~\$141
- **Average Customer Rating:** 3.9

While these metrics indicate stable demand and satisfactory customer perception, aggregate figures alone do not explain performance variation. Subsequent sections decompose sales by product and outlet attributes to identify the true drivers.

3. Product Mix & Category Dynamics

Fat Content Contribution

Product-level analysis highlights a clear distinction between **volume-driven** and **price-driven** performance:

- **Low Fat products:** ~\$776K in total sales
- **Regular products:** ~\$425K in total sales

Despite the difference in total contribution, **average sales per item remain nearly identical** across both groups. This indicates that Low Fat products do not achieve higher pricing power; instead, their contribution is driven by **higher purchase frequency**.

Implication:

Low Fat products function as demand staples rather than premium offerings. Performance improvements are more likely to come from availability and assortment optimization than from pricing adjustments.

Category Contribution Structure

Sales are concentrated within a limited set of high-performing categories:

- **Top contributors:** Fruits & Vegetables, Snack Foods (~\$0.18M each)
- **Mid-tier contributors:** Household, Frozen Foods (~\$0.12–\$0.14M)
- **Low contributors:** Seafood, Breakfast (~\$0.01–\$0.02M)

This distribution reflects a **long-tail category structure**, where several categories contribute marginally to total revenue.

Implication:

Low-contribution categories should be periodically reviewed to assess whether operational complexity and shelf space allocation are justified relative to their revenue impact.

4. Outlet-Level Performance Patterns**Outlet Size**

Sales performance varies significantly by outlet size:

- **Medium outlets:** ~\$508K
- **Small outlets:** ~\$445K
- **Large outlets:** ~\$249K

Medium-sized outlets consistently outperform both smaller and larger formats.

Implication:

Medium formats appear to offer the most effective balance between assortment breadth and operational efficiency.

Location Tier

Performance also varies by geographic tier:

- **Tier 3 outlets:** ~\$472K
- **Tier 2 outlets:** ~\$393K
- **Tier 1 outlets:** ~\$336K

This pattern challenges the assumption that metropolitan locations automatically generate superior revenue and highlights the importance of **format-market fit**.

Outlet Type

- **Supermarket Type 1** generates approximately **\$788K**, accounting for the majority of total sales.

Other outlet types contribute substantially less, indicating that **format consistency** plays a critical role in revenue generation.

Limited Impact Factors

Two commonly assumed performance drivers show limited influence on sales outcomes:

- Outlet establishment year
- Item visibility

Implication:

Sales performance is influenced more by **structural and operational alignment** than by store age or visual prominence.

5. Key Insights

- Revenue is driven by **high-frequency staples**, not premium pricing
- Medium-sized outlets outperform both small and large formats
- Semi-urban (Tier 3) locations generate stronger demand than Tier 1 locations
- A small number of categories and outlet formats account for a disproportionate share of revenue
- Cosmetic factors such as visibility and outlet age have limited explanatory power

6. Conclusion

The analysis indicates that **consistent retail performance is primarily determined by structural factors**, including outlet size, location tier, and product mix, rather than by surface-level attributes.

Focusing on **format optimization, demand-aligned assortment, and disciplined expansion into high-performing tiers** is likely to yield more sustainable revenue outcomes than incremental optimization of existing outlets.

7. Scope & Assumptions

- Analysis is based solely on historical transactional sales data
- No cost, margin, or marketing variables are included
- Observations reflect correlations within the dataset and should not be interpreted as causal guarantees